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CASE #	CASE NAME	HEARING NAME
RIC2001841	GERMAN VS LA FLOURE LLC	MOTION TO DEEM PLAINTIFF THE PREVAILING PARTY

Tentative Ruling:

When this motion was ruled on by the Court the first time, the Court applied CCP § 1032(a)(4)'s "prevailing party" definition and found that since Plaintiff had a net monetary recovery, it was the prevailing party on the wage and hour complaint. (Declaration of Jonathan P. Lacour, Exhibit 3, p. 3.) On appeal, the Court found that the "prevailing party" definition under CCP § 1032 did not apply to Labor Code §§ 218.5, 226, and 1194, which are applicable here. (Id. at pp. 6 and 9-10.) The Court found that a "holistic and pragmatic approach that assesses the extent to which a party achieved its overall litigation objectives as well as the underlying purposes that the attorneys' fee provision seeks to achieve" is applied to determine which party is the prevailing party. (Id. at p. 7.) "Where a plaintiff achieves less than complete success on a claim that includes the right to recover attorney's fees, making the pragmatic determination of who 'prevailed' involves a balancing of varied and subtle factors, a task that the trial judge is uniquely and qualified to perform." (Id. at 10.) "A court should assess what was really 'in dispute' at the outset of the case and whether circumstances shifted before significant litigation costs were incurred." (Id.) Net monetary recovery is an important factor. (Id.) However, it is not always determinative. (Id.) The fact that a plaintiff does not recover everything they sought is seldom a sufficient reason to find they did not prevail for purposes of an attorney's fees award. (Id.) The Court is to liberally construe remedial provisions of the Labor Code with an eye to benefiting employees because doing otherwise could discourage meritorious wage and hour claims from being brought. (Id.) The Court rejected Defendants' assertion that the trial court must determine that there is no prevailing party. (Id. at p. 11.)

The Court points out that "where a plaintiff joins separate statutory claims, each of which entitles the prevailing party to an award of attorney's fees, the court must determine the prevailing party separately as to each claim such that 'there can be two different prevailing parties under separate statutes in the same action.'" (Id. at 9.) The Court states that because Plaintiff filed two complaints that were consolidated for trial, the Court could find that Plaintiff is the prevailing party under the wage and hour claims and not the FEHA claims because different statutes for attorney's fees apply. (Id.) It found that the determination that Defendants were the prevailing party on the FEHA claims was correct.

Based on this finding, a possible option in this matter is that the Court finds that the Plaintiff is the prevailing party under some of the wage and hour claims, which would entitle her to some attorneys' fees under the applicable Labor Code sections. (Id. at p. 9.) It is also possible for the Court to determine that there is no prevailing party. (Id. at p. 7.) Plaintiff was awarded damages under most of her wage and hour claims. She was awarded \$176 in her claim for failure to minimum wages (Labor Code § 1194). (Statement of Decision p. 19-20.) She was awarded \$176 in liquidated damages pursuant to Labor Code § 1194.2 for unpaid off-the-clock work. (Id. at p. 20.) She was

awarded \$689 for meal period violations and \$819 for rest period violations. (Id. at 23.) She was awarded \$312 for unpaid overtime payments. (Id. at 23.) She was awarded \$3,120 for waiting time penalties under Labor Code § 203. (Id. at 25.) She was awarded \$750 in penalties for failure to provide accurate wage statements under Labor Code § 226. (Id. at p. 26.) She was also awarded \$4,000 in penalties under Labor Code § 1174 for failure to maintain payroll records. The Court found she was entitled to \$1,552.80 in interest on the wage and hour violations. (Id. at p. 29.) The total damages awarded were \$11,594.80. (Id. at 30.)

Plaintiff argues that the first element of the holistic test applied by the Appellate Court has been met because her litigation objective was met with this award – satisfying the first element of the test the Court of Appeals determined was applicable. She contends that she obtained an award in the majority of her wage and hour claims. She argues that the amount awarded was roughly the same amount sought by Plaintiff at trial. She points to a brief filed after trial but before a statement of decision had been executed by the Court, which seeks almost the same amount she was awarded. (Exhibit 1 to Jonathan P. Lacour's Declaration.) Defendant argues that this amount was not Plaintiff's litigation objective because in her wage and hour complaint, she sought \$200,000. It asserts that she received a fraction of this amount sought. Due to this, Defendant argues that Plaintiff's litigation objective was not reached.

In determining whether a party is a prevailing party under the holistic test provided by the Appellate Court, the trial court is to compare the relief awarded with the party's demands on those same claims and their litigation objectives "as disclosed by the pleadings, trial briefs, opening statements, and similar sources." (*Hus v. Abbara* (1995) 9 Cal.4th 863, 876.) While the pleading does indicate that Plaintiff sought damages in an amount no less than \$200,000, in the Joint Pretrial Statement filed on 1/16/24 and a brief filed before the statement of decision was executed by the Court (Request for Statement of Decision), Plaintiff sought only approximately \$650 more (without prejudgment interest applied) than what was awarded by the Court. As such, while the Complaint does seek \$200,000, there appears to have been a shift in Plaintiff's litigation objective. Under this new objective, Plaintiff accomplished substantially all of her litigation objectives. She prevailed on nearly all of her wage and hour claims and obtained nearly the amount she represented to the Court that she was entitled to before trial. The Appellate Court stresses that the failure to recover everything sought in the complaint is seldomly a sufficient reason to find that a party did not prevail for purposes of an attorney's fee award. (Declaration of Jonathan P. Lacour, Exhibit 3, p. 10.) Since the Plaintiff prevailed on most of her wage and hour claims and obtained nearly the exact amount sought in her pretrial briefs, it appears that Plaintiff obtained her litigation objective.

The second part of the holistic test appears to have been met and the motion should be granted. The second part looks at the underlying purpose that the attorney's fees provision at issue seeks to achieve. (Id. at p. 7.) Under Labor Code § 1194(a), reasonable attorneys' fees are recoverable for "any employee receiving less than the legal minimum wage or the legal overtime compensation applicable to the employee . . ." Labor Code § 218.5(a) allows for the recovery of attorney's fees by the prevailing party for any action brought for the nonpayment of wages. Labor Code § 226(h) allows

an employee to recoup attorney's fees if they are successful in an action for an employer's failure to provide accurate wage statements. Plaintiff prevailed on her claims for failure to pay minimum wages, failure to maintain accurate payroll records, failure to pay overtime compensation, and waiting time penalties, which all allow for recovery of attorney's fees under Labor Code §§ 218.5, 226, and 1194. (Labor Code §§ 218.5, 226, and 1194; see *Naranjo v. Spectrum Security Services, Inc.* (2022) 13 Cal.5th 93, 112.) Allowing the recovery of attorney's fees and costs under Labor Code §§ 218.5, 226, and 1194:

promotes the Legislature's clear priorities in creating procedures to assure that California employees are properly compensated. "[T]he prompt payment of wages due an employee is fundamental public policy in this state." [Citation omitted.] To implement this policy, the Labor Code creates a comprehensive remedial scheme designed to protect and favor employees attempting to collect compensation that is due them. Remedial provisions, in particular, are to be liberally construed with an eye to benefiting employees and promoting their protection.

Granting Plaintiff's request to be deemed the prevailing party appears to be consistent with the underlying purpose of the attorney's fees provision at issue because Plaintiff is an employee attempting to recoup unpaid wages. Due to this, the Court grants the motion.